Varmora Granito Ltd

Concall tracker report · Q2 2027 (Sep 2026 quarter) · prepared 11 Nov 2026

1. Snapshot

A Morbi (Gujarat) tile maker focused on glazed vitrified tiles (GVT) in 18 sizes and 20 surfaces, sold through about 309 exclusive brand outlets and 2,000 multi-brand dealers, plus some exports and a small bathware range. It listed on 29 Sep 2026 after a Rs 708 cr IPO (Rs 320 cr fresh issue for debt repayment); Carlyle is a long-standing investor.

- Market cap about Rs 3,006 cr at about 38 times profit: priced for growth.
- Sep 2026 quarter sales Rs 387 cr, up 17% on a year ago: a recovery after a weak June quarter.
- Operating margin 15% in the Sep quarter vs 9% a year ago: a big jump.
- Sep 2026 quarter net profit Rs 23 cr vs Rs 17 cr.
- Return on equity about 8% and return on capital about 10%: modest so far.
- Depreciation fell from about Rs 22 cr a quarter to Rs 8 cr after a change in accounting method (about Rs 14 cr boost to profit, per management).

2. Concall coverage

Newly listed: only one concall exists (23 Oct 2026, its first as a listed company), so the consistency read is very limited.

Quarter / source	Date	Read?
Q1 + Q2 FY27 (first call)	23 Oct 2026	Yes, in full

One call. There is no earlier record of promises to check.

Latest concall highlights - Q1/Q2 FY27 (23 Oct 2026)

- Q1 was hit as April production shut for lack of fuel; Q2 was a recovery, with plant utilisation of 89% vs 63% in Q1.
- Average realisation up about 21%: about 17% from price hikes (input costs rose about 14-15%) and 3.5-4% from a richer mix of larger, pricier GVT sizes.
- Domestic GVT volume up 14%; exports down about 18% on container shortages and freight costs, though freight has started to ease.
- New North-East (Assam) plant running at about 50% utilisation, expected about 75% in Q3 and 85-87% in Q4; it gets GST and interest-subsidy benefits and saves freight.
- IPO money goes to repay debt, so interest cost should become almost zero. No big capex planned.

Business mix & capacity

- Domestic vs export: about 80% domestic, 20% exports on average over four years (branded exports only).
- Capacity: 50.6 million square metres; utilisation 76% in H1 FY27 (89% in Q2). Management sees 80-85% next year and peak up to 92-93%. The Assam plant adds about 6.4 million square metres next year.

3. Earning trigger thesis

Three things should lift earnings: a richer mix inside GVT (bigger slabs and the new IST full-body marble-look product), better plant utilisation including the new Assam plant, and near-zero interest after the IPO debt repayment. Price hikes have so far run ahead of gas cost increases. Part of the profit jump is accounting, from the depreciation change.

Trigger	What management said	Evidence so far	Time horizon	Strength
Product mix (large GVT, IST)	Higher-value sizes and IST to keep lifting realisation and margin	Mix added 3.5-4% to realisation; margin up to 15%	Ongoing	Moderate
Utilisation and Assam plant	Utilisation 80-85%; Assam to 75% in Q3, 85-87% in Q4	Q2 utilisation 89%; Assam at about 50%	FY27-FY28	Moderate
Debt repayment from IPO	Interest cost to become almost zero	IPO completed Sep 2026	From Q3 FY27	Strong, mechanical

3b. Trigger check

Trigger type	Yes/ No	What was said (date)
Debt cut	Yes	Rs 320 cr fresh issue to repay debt; interest to become almost zero (Oct 2026)
New business	No	-
Margin up	Yes	Realisation up 21%, mix and utilisation lifted Q2 margin; better margins expected in Q3 and Q4 (Oct 2026)
New management	No	-
New capacity	Yes	North-East plant started, ramping to about 75% in Q3 (Oct 2026)
Big orders	No	-
Turnaround	No	-
Promoter buying	No	-

Single concrete driver: A richer mix of large-format GVT and IST tiles plus higher utilisation, including the new Assam plant, with interest cost falling after the IPO debt repayment.

3c. Margin bridge

Operating margin rose to 15% from 9% a year ago because price hikes (about 17%) ran ahead of input cost increases (about 14-15%), the mix moved to larger GVT sizes and utilisation hit 89%. Management calls both mix and utilisation benefits sustainable. Separately, the switch to straight-line depreciation lifted net profit. (lasting)

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
Oct 2026	Assam plant to about 75% utilisation in Q3	First call	Too-early
Oct 2026	Q3 and Q4 margins better than Q2	First call	Too-early
Oct 2026	FY27 around 15% value growth if exports revive	First call	Too-early

Only one call, so no drift can be measured. Tone was confident and specific (numbers on realisation, gas prices and utilisation given readily). Watch whether the next calls match these first promises.

5. Bottom line

Durable earning trigger? → MAYBE

The drivers are concrete and partly visible (mix, utilisation, debt repayment), but there's only one call, exports are weak, gas prices swing, and some of the profit jump is a depreciation change rather than business.

Management consistent? → MAYBE

Too early to judge with one call. First promises are specific enough to check next quarter.

6. Checkpoints for next quarter

- Assam plant reaches about 75% utilisation in the December quarter
- December quarter margin is higher than the September quarter
- Interest cost drops close to zero after the IPO debt repayment

Sources

- Screener.in: Q1/Q2 FY27 concall transcript (23 Oct 2026)
- Screener.in financial tables

This is not investment advice. Do your own due diligence.